

ANI

BREAKING GROUND
US president Donald Trump greets Modi at the White House, Feb. 13, 2025

Modi's call to Trump was meant to clinch a win-win deal with the world's biggest economy, whose GDP alone is $30 trillion (Rs 2,720 lakh crore). Until then, India-US relations had been on a rollercoaster, with more downs than ups. When Trump imposed 50 per cent tariff on Indian imports into the US last August—the highest for any nation, alongside Brazil—ties had begun to unravel, even though both leaders maintained they were good friends.

THE PM'S COMPULSIONS

With the US being India's largest trading partner, the heavy tariffs had begun to hurt the country's exporters, especially in labour-intensive sectors like textiles, gems and jewellery, and leather. There was every danger that, if the situation persisted, it could significantly slow India's rapid economic growth and trigger massive unemployment. Getting the US to lower its high tariffs had become a necessity for the prime minister, but the political consequences of failing to strike a win-win deal with the US would have been equally disastrous.

These mega deals signal India's new trade doctrine: that it is willing to compete with, and alongside, the world's most demanding economies

India also realised that manufacturing growth without exports was unsustainable. To generate employment, move up value chains, India had to sell far more to the world

It was time for Modi to deliver two masterstrokes that had been in the works for a while. The first saw him consenting to Indian negotiators to sign the free trade agreement (FTA) with the 27-member European Union (EU). With a combined GDP of $20 trillion (Rs 1,810 lakh crore), the bloc is the world's third-largest economy, trailing China by the narrowest of margins. For India, the EU is its largest goods trading partner, accounting for 11 per cent of its total merchandise exports. However, India accounts for barely 2.4 per cent of the EU's total trade, ranking ninth among its trading partners. The potential to expand business ties with the bloc, therefore, was tremendous.

Modi and his team had learned from India's mistakes in the past, which helped hone the skills needed to strike deals with developed nations such as the US and the EU. As Union commerce and industry minister Piyush Goyal told INDIA TODAY, "We adopted an honest and plainspeaking approach and pushed for fair deals so that they recognised that India is a trusted partner who will help their economies grow in the future. Our idea was to capture the low-hanging fruit and not to make perfect the enemy of the good. We respected their sensitivities, as they respected ours." (*See accompanying interview.*)